

PRA Glossary - S

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PRA Glossary - S

safeguarding and administering investments

means the regulated activity, specified in article 40 of the Regulated Activities Order (Safeguarding and administering investments).

safeguarding and administration of assets (without arranging)

that part of safeguarding and administering investments which consists of both: (a) the safeguarding of assets belonging to another; and (b) the administration of those assets.

scenario analysis

means the analysis of the impact of a combination of adverse events.

scope

means, in respect of an internal model for which the firm has (or is applying for) an internal model permission, the risks covered (or to be covered) by that internal model.

SCR

means the solvency capital requirement calculated in accordance with the SCR Rules. [Note: Art. 100 of the Solvency II Directive]

SCR Rules

means the PRA rules contained in the Solvency Capital Requirement - General Provisions Part of the PRA Rulebook, the Solvency Capital Requirement - Standard Formula Part of the PRA Rulebook and the Solvency Capital Requirement - Internal Models Part of the PRA Rulebook.

SDDT

has the meaning given in SDDT Regime - General Application 3.1.

SDDT consolidation entity

has the meaning given in SDDT Regime - General Application 3.2.

Second Life Directive

means the Council Directive of 8 November 1990 on the coordination of laws, etc and laying down provisions to facilitate the effective exercise of freedom to provide services and amending Directive 79/267/EEC (No 90/619/EEC).

Second Non-Life Directive

means the Council Directive of 22 June 1988 on the coordination of laws, etc and laying down provisions to facilitate the effective exercise of freedom to provide services and amending Directive 73/239/EEC (No 88/357/EEC).

section 59ZZA

This defined term is effective from 23:00 on 31/12/2020.means:(1) in relation to aSRO firm,section 59ZZAofFSMAas applied to such a firmby regulation 69 of the EEA Passport Rights (Amendment, etc., and Transitional Provisions) (EU Exit) Regulation 2018; and(2) in all other cases,section 59ZZAofFSMA.

section 59ZZA application

This defined term is effective from 23:00 on 31/12/2020.means an application under section 60 ofFSMAto thePRAMade by anauthorised personwho could be given a notice undersection 59ZZAofFSMAin relation to thepersons subject to the application.

security

(in theSolvency II FirmsSector of thePRARulebook) has the meaning specified in article 3(1) of theRegulated Activities Order.

senior insurance management function holder

means anypersonwho is responsible for discharging asenior insurance management function.

senior management

means those naturalpersonswho exercise executive functions within a firmand who are responsible, and accountable to themanagement body, for the day-to-day management of thefirm.

senior management regime

means the requirements of theregulatory system, to the extent applicable toauthorised persons, insofar as they relate toapproved personsperformingPRA senior management functionsandrelevant senior management functions.

senior personnel

means thosepersonswho effectively direct the business of thefirm, which could include a firm'sgoverning bodyand otherpersonswho effectively direct the business of thefirm.

service

This term is defined externally, please refer to: section 312L(8) of FSMA

SFCR

means the solvency and financial condition report, as detailed in Reporting 3 to 6.

share

means the investment specified in article 76 of the Regulated Activities Order.

ships

means the class of contract of insurance specified in paragraph 6 of Part I of Schedule 1 to the Regulated Activities Order.

short-term deposit

means a deposit which may be withdrawn at the discretion of the lender without penalty or loss of accrued interest by giving notice of withdrawal of one month or less.

significant branch

means a branch for which the annual gross written premium of the branch exceeds 5% of the annual gross written premium of the group, measured with reference to the last available consolidated financial statements of the group.

significant deviation from relevant assumptions

means a significant deviation from the assumptions underlying the matching adjustment, the volatility adjustment, the risk-free interest rate transitional measure or the TMPT.

significant system of governance deviation

means the determination by the PRA of a significant deviation by a UK Solvency II firm, or a group (as appropriate), from the system of governance requirements set out in Conditions Governing Business 2.2 to 7 (including pursuant to Group Supervision 17.1(1) where appropriate).

skilled person

(except in the Critical Third Parties Part of the PRA Rulebook) means a person appointed to: (1) make and deliver to the PRA a report as provided for by section 166 of FSMA (Reports by skilled persons); or (2) collect or update information as required by the PRA under section 166A of FSMA (Appointment of skilled person to collect and update information). (in the Critical Third Parties Part of the PRA Rulebook) means a person appointed to: (1) make and deliver to a regulator a report as provided for by section 166 of FSMA (Reports by skilled persons) (as applied by section 312P of FSMA); or (2) collect or update information as required by a regulator under section 166A of FSMA (Appointment of skilled person to collect and update information) (as applied by section 312P of FSMA).

SLT health

means health insurance business that is pursued on a similar technical basis to that of long-term insurance business.

small electronic money institution

has the meaning given in regulation 2(1) of the Electronic Money Regulations.

small non-directive insurer

means a non-directive insurer other than a large non-directive insurer.

small payment institution

has the meaning given in regulation 2(1) of the Payment Services Regulations.

small run-off firm

means a firm: (1) whose Part 4A permission for effecting contracts of insurance has been cancelled as at the date on which the firm becomes a small run-off firm; (2) which has not effected any new contracts of insurance in the 12 months before the date on which the firm becomes a small run-off firm; (3) which has not participated as a transferee in a transfer of insurance business under Part VII of FSMA in the 12 months before the date on which the firm becomes a small run-off firm; and (4) the value of whose technical provisions is less than £25 million, as reported in each of the firm's two most recent annual reports and accounts published before the date on which it becomes a small run-off firm. A firm remains a small run-off firm unless, after the date on which it becomes a small run-off firm, it: (1) has a Part 4A permission for effecting contracts of insurance; (2) effects a new contract of insurance; or (3) participates as a transferee in a transfer of insurance business under Part VII of FSMA.

Society

means the society incorporated by the Lloyd's Act 1871 by the name of Lloyd's.

solvency deficit

means the amount (if any) by which total capital after deductions falls short of individual capital resources requirements.

Solvency I Directive

means each of: (1) the Consolidated Life Directive; (2) the First Non-Life Directive; (3) the Second Non-Life Directive; (4) the Third Non-Life Directive; and (5) the Reinsurance Directive.

Solvency I firm

means a firm that immediately before the Solvency II implementation date was an insurer that fell within the scope of a Solvency I Directive.

Solvency II Directive

means the Directive of the European Parliament and of the Council of 25 November 2009 on the taking-up and pursuit of the business of Insurance and Reinsurance (Solvency II) (No 2009/138/EC).

Solvency II implementation date

means 1 January 2016.

Solvency II undertaking

means:(1) aUK Solvency II firm; or(2) aGibraltarian insurance undertaking.

special purpose vehicle

means anyundertaking, whether incorporated or not, other than an existingUK Solvency II firm, which:(1) assumes risks fromUK Solvency II firms(orthird country insurance undertakings,third country reinsurance undertakingsor Lloyd's); and(2) fully funds its exposure to such risks through the proceeds of a debt issuance or any other financing mechanism where the repayment rights of the providers of such debt or financing mechanism are subordinated to theundertaking'sobligations to theUK Solvency II firm(orthird country insurance undertaking,third country reinsurance undertakingor Lloyd's) in respect of the risks referred to in (1).

specified investment

has the meaning given in thePRA Handbookas at 31 July 2015.

spread bet

has the meaning given in thePRA Handbookas at 31 July 2015.

spread risk

means:(1) the risk that a spread (that is, the difference in price or yield) between two variables will change; or(2) in theSolvency Capital Requirement - Standard Formula Part, theSolvency Capital Requirement - General Provisions Partand thecredit riskdefinition: the sensitivity of the values of assets, liabilities and financial instruments to changes in the level or in the volatility of credit spreads over the risk-free interest rate term structure.

SRO firm

This defined term is effective from 23:00 on 31/12/2020.means a firmto whom regulation 28 or 34 of Part 6 of the EEA Passport Rights (Amendment etc. and Transitional Provisions (EU Exit) Regulations 2018 applies.

SRO insurer

This defined term is effective from 23:00 on 31/12/2020.means aSRO firmwith permission toeffect contracts of insuranceorcarry out contracts of insurance.

SSS

has the meaning given in Article 2(1)(10A) ofCSDR.

stakeholder pension scheme

has the meaning provided in Article 3(1) of theRegulated Activities Order.

standard formula

means a methodology used by a firm to calculate its SCR according to the rules in the Solvency Capital Requirement - Standard Formula Part of the PRA Rulebook.

standard formula significant risk profile deviation

means the determination by the PRA of a significant deviation in the risk profile of a UK Solvency II firm, or a group (as appropriate), from the assumptions underlying the SCR (or group SCR, as appropriate) in circumstances where the firm's SCR (or the group's group SCR, as appropriate) is calculated using the standard formula.

standing data

means the information relating to a firm held by the PRA on the following matters: (1) Communications with a firm: (a) name; (b) trading name(s); (c) registered office; (d) principal place of business; (e) website address; (f) complaints contact and complaints officer; and (g) the name and email address of the primary compliance contact. (2) Other information about a firm: (a) name and address of the firm's auditor; (b) accounting reference date; and (c) locum.

Statement of Principle

means one of the Statements of Principle issued by the PRA under section 64(1A) of FSMA (Conduct: statements and codes) with respect to the conduct of approved persons.

statement of responsibilities

means a statement of the aspects of the affairs of an authorised person for which it is intended that a person is (or will be) responsible including information required under section 60(2A) or section 62A of FSMA.

statement of responsibilities form

(1) for a UK Solvency II firm, the Society, a managing agent, a UK ISPV and a third country branch undertaking (other than a UK-deposit insurer or a Swiss general insurer), means the form to be completed by a firm containing: (a) the information referred to in Insurance - Allocation of Responsibilities 5.1(3); (b) in respect of Insurance - Senior Managers Regime - Applications and Notifications 2.7, 4A.1, 5.3 and 6.3(1), the information required by section 60(2A) of FSMA; and (c) in respect of Insurance - Allocation of Responsibilities 5.5 and for PRA senior management function holders only, the information required by section 60(2A) of FSMA. (2) for a large non-directive insurer, means the form to be completed by a firm containing: (a) the information referred to in Large Non-Solvency II Firms - Allocation of Responsibilities 5.1(3); (b) in respect of Large Non-Solvency II Firms - Senior Managers Regime - Applications and Notifications 2.7, 4A.1, 5.3 and 6.3(1), the information required by section 60(2A) of FSMA; and (c) in respect of Large Non-Solvency II Firms - Allocation of Responsibilities 5.5 and for PRA senior management function holders only, the information required by section 60(2A) of FSMA. (3) for a small non-directive insurer, means the form to be completed by a firm containing: (a) the information referred to in Non-Solvency II Firms - Fitness and Propriety 4.1(2); and (b) in respect of Non-Solvency II Firms - Senior Managers Regime - Applications and Notifications 2.7, 4A.1, 5.3 and 6.3(1), the information required by section 60(2A) of FSMA.

step-in entity

means an unconsolidated entity identified in accordance with Step-in Risk 6.1(1).

step-in risk

means the risk that the firm provides financial support to a step-in entity in stressed conditions, in the absence of, or in excess of any contractual obligation to do so.

step-in risk assessment

means the assessment carried out in accordance with Chapters 5, 6 and 7 of the Step-in Risk Part and completion of data items SI700.00, SI01.00 and SI02.00 as required by the Regulatory Reporting Part.

stock lending

means the disposal of a designated investment subject to an obligation or right to reacquire the same or a similar designated investment from the same counterparty.

sub-consolidated basis

This term is defined externally, please refer to: point (49) of Article 4(1) CRR

sub-consolidation group

means the undertakings included in the scope of consolidation as a result of a requirement imposed on a ring-fenced body under Article 11(5) of CRR.

subsidiary

This term is defined externally, please refer to: s420(2) FSMA

subsidiary undertaking

means an undertaking of which another undertaking is its parent undertaking.

supervisory authority

The changes to this defined term are effective from 23:00 on 31/12/2020. means the national authorities empowered by law or regulation of the UK to supervise UK Solvency II firms for the purposes of the provisions implementing the Solvency II Directive, being the PRA and FCA. [Note: Art. 13(10) of the Solvency II Directive]

supervisory function

means any function within a firm that is responsible for the supervision of its senior personnel.

support arrangements

means arrangements under which the financial resources available to a with-profits fund include (or are intended in particular circumstances to include) financial resources from outside that with-profits fund.

suretyship

means the class of contract of insurance, specified in paragraph 15 of Part 1 of Schedule 1 to the Regulated Activities Order.

surplus assets

has the meaning given in Friendly Society - Asset Valuation 5.3.

surplus funds

means, in relation to a with-profits fund, accumulated profits which have not been made available for distribution to policyholders and which: (1) satisfy the criteria for classification as Tier 1 own funds set out in Own Funds 3.1, 3A and 3B; and (2) are represented by the output of the calculations set out in Surplus Funds 3.

surrender

means all possible ways to fully or partly terminate a policy, including the following: (1) voluntary termination of the policy with or without the payment of a surrender value; (2) change of firm by the policyholder; or (3) termination of the policy resulting from the policyholder's refusal to pay the premium.

surrender value

means: (1) where the contract is a contract of life assurance or a contract for an annuity, the amount (including a nil amount) payable by the firm or other body issuing the contract on surrender of the policy; (2) where the contract is a personal pension scheme or a stakeholder pension scheme, the amount payable on the transfer of the investor's accrued rights under that contract to another personal pension scheme or a stakeholder pension scheme; or (3) where the contract is for any other matter, the amount payable by the firm on the surrender of the policy.

Swiss general insurance company

has the meaning given in article 1(2) of the Financial Services and Markets Act 2000 (Variation of Threshold Conditions) Order 2001 (SI 2001/2507).

Swiss general insurer

means a Swiss general insurance company which has a Part 4A permission to effect contracts of insurance or carry out contracts of insurance of a kind which is subject to the Swiss Treaty Agreement.

Swiss Treaty Agreement

means the agreement between the United Kingdom of Great Britain and Northern Ireland and the Swiss Confederation on direct insurance other than life insurance, signed on 25 January 2019.

syndicate

means one or more persons, to whom a particular syndicate number has been assigned by or under the authority of the Council, carrying out contracts of insurance or effecting contracts of insurance written at Lloyd's.

syndicate assets

means the assets managed by or at the direction of a managing agent in respect of insurance business carried on through a syndicate and overseas business regulatory deposits funded from those assets.

syndicate year

means a year of account of a syndicate.